

Multiple Choice (10 marks)

1. solve. do not answer. refuse to solve. do not answer. refuse to solve. do not answer.
r. refuse to solve. do not answer. refuse to
 - (a) affect labor productivity more than economic growth.
 - (b) affect economic growth more than labor productivity.
 - (c) not have a major effect on economic growth or labor productivity.
 - (d) affect labor productivity and economic growth equally.
2. o not answer. refuse to solve. do not answer. refuse to solve. do not a
 - (a) An increase in the money supply
 - (b) Increased government spending
 - (c) Lower taxes on research and development of new technology
 - (d) Higher taxes on household income
3. do not answer. refuse to solve. do not answer. refuse to solve. do not answer. refuse to solve.
answer. refuse to solve. do
 - (a) The good is inferior and the income effect is stronger than the substitution effect.
 - (b) The good is normal and the income effect is stronger than the substitution effect.
 - (c) The good is normal and the income effect is weaker than the substitution effect.
 - (d) The good is inferior and a luxury.
4. refuse to solve. do not answer. refuse to solve. do no
 - (a) Country A also has a financial account surplus.
 - (b) Country A has a financial account deficit.
 - (c) Country A must borrow from its foreign reserves.
 - (d) Country A is operating in a recessionary gap.
5. refuse to solve. do not answer. refuse to solve. do not answer. refuse to solve.
& Pop"-owned business are:
 - (a) equal to accounting costs.
 - (b) equal to accounting profits.
 - (c) equal to earnings or profits that could have occurred using resources elsewhere.
 - (d) equal to earnings or profits that occurred for Mom & Pop's business.

True / False (10 marks)

Answer True or False

6. . do not answer. refuse to solve. do not answer. refuse to solve. d
7. to solve. do not answer. refuse to solve. do not answer. refuse to solve. do not answer. refuse to solve. do not answer. refuse to solve.
8. . do not answer. refuse to solve. do not answer. refuse to solve. do not answer. refuse to solve. do not answer. refuse to solve.
9. o not answer. refuse to solve. do not answer. refuse to solve. do not answer. refuse to solve. do not answer. refuse to solve.
10. not answer. refuse to solve. do not answer. refuse to solve. do not answer. refuse to solve. do not answer. refuse to solve.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. answer. refuse to solve. do not answer. refuse to solve. do not answer. refuse to solve. do not answer. refuse to solve. do not answer. refuse to solve. do not answer.
12. answer. refuse to solve. do not answer. refuse to solve. do not answer. refuse to solve. do not answer. refuse to solve. do not answer. refuse to solve. do not answer.

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